

Q3 2026 Databricks: Reading the \$188 Billion Term Sheet

A signed bid 40% above the last mark, and the accelerating engine underneath it

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Databricks signs at \$188 billion, and the quality math survives the re-rate

Databricks signed a Coatue-led term sheet at \$188 billion on July 17, 40% above February's completed mark, with the close expected later this summer. The revenue ladder under the bid is still accelerating at \$7 billion scale. Even at the higher price, the company remains the cohort's cheapest asset per unit of business quality.

Report picks

Databricks: Brick by Brick (July 2026 initiation)

Databricks Company Update: The Appraisal Moves (August 2026)

Key takeaways

- **Databricks signed a term sheet at \$188 billion on July 17, 40% above its last completed mark.** Coatue leads the round. Press reports put the size near \$3 billion. The company expects to close later this summer; until funds settle, the \$134 billion February mark anchors the base case (company announcement, July 17, 2026).
- **The same \$6.9 billion run-rate now carries two prices: 19.4x at the completed mark, 27.2x at the announced one.** No operating number moved with the announcement. The September print decides which multiple the buyer paid (derived).
- **Revenue is accelerating through \$7 billion: four straight prints, +50% to +80% YoY.** The counterweight is gross margin, at 74% and guided lower. The floor is 70%. Below it, the quality score gets rebuilt no matter what the round does (company disclosure, June 16, 2026).
- **At either mark, Databricks is the cheapest quality-adjusted asset in the cohort: \$15.2 billion per point completed, about \$21.3 billion announced (est.).** The nearest peer pays about \$118 billion per point. We assess a close by October 31 as very likely (80-95%). Confidence: moderate; the size and terms are press-sourced (derived).

The term sheet: signed at \$188 billion, unclosed

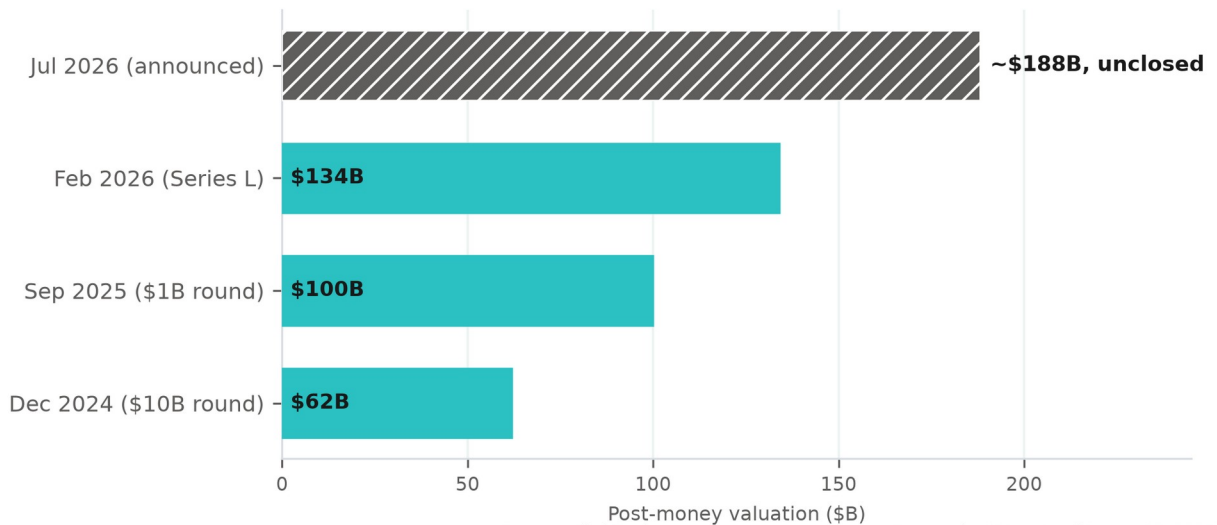
Databricks signed a term sheet on July 17. The round values the company at \$188 billion post-money, with Coatue in the lead and new and existing investors behind it (company announcement, July 17, 2026). The company has not disclosed the size. Press reports put it near \$3 billion. The close is expected later this summer, and until it lands the money is not in hand; PitchBook carries the round as announced and in progress, the thirteenth (financing note, August 7, 2026).

The last completed mark was \$134 billion, set in February. The new bid sits 40% above it. It also sits \$13 billion above the top of the range the press reported in June, \$165 billion to \$175 billion. Rumored rounds usually shrink on contact with a term sheet. This one grew.

The size is the tell. Three billion dollars is less than half of February's \$7.0 billion round, and the business generates cash on its own (company, February 9, 2026). A company that raises small at a 40% markup is not funding operations. It is marking itself up and adding dry powder, on its own schedule. The stated use is AI product: Genie, Unity AI Gateway, Lakebase (company announcement via press reports, July 17, 2026). House rule regardless: an unclosed round never anchors the base case. The \$134 billion mark holds until funds settle.

Three completed marks and a signed bid

Databricks post-money valuation (\$B)



Post-money marks, December 2024 to July 2026. Completed marks solid; the July 17, 2026 term sheet hatched: announced at \$188B, unclosed, not adopted until funds settle.

The engine under the bid: four accelerating prints

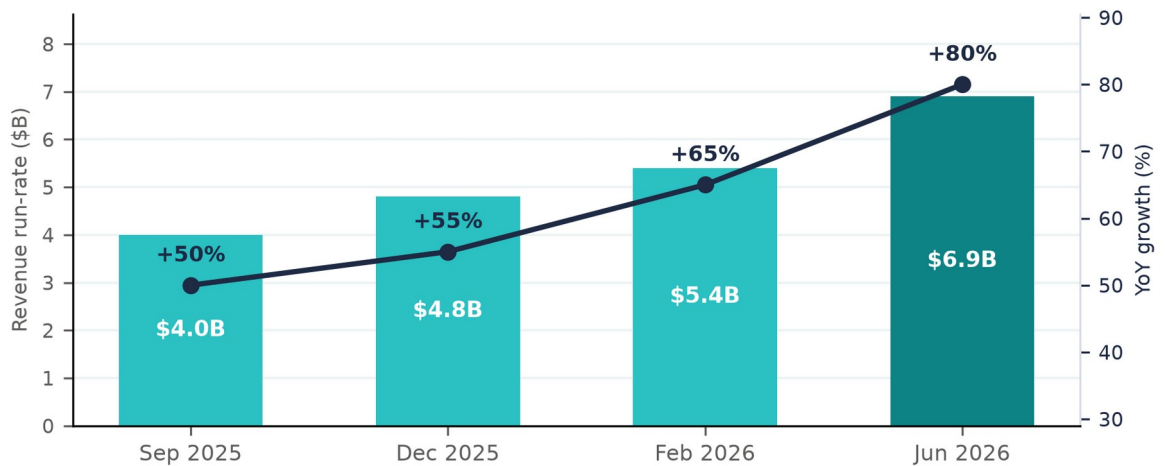
Nothing in the operating record moved with the announcement. The last print stands at \$6.9 billion of annualized revenue, up 80% year over year (company disclosure, June 16, 2026). It was the fourth straight print to accelerate: \$4.0 billion, \$4.8 billion, \$5.4 billion, \$6.9 billion in ten months. Software companies at this scale slow down. This one sped up.

The counterweight is gross margin. It stands at 74%, down from above 80%, and management guides it lower; agents fire queries at machine speed, and the compute bill lands in cost of revenue (company disclosure, June 16, 2026). The floor that matters is 70%. Break it and the quality score gets rebuilt, whatever the round does. The cushion is four points.

The rest of the record is firm but dated. Free cash flow was positive on trailing and fiscal 2025 bases at the February disclosure. Retention ran above 140%, across more than 20,000 organizations; both figures are February vintage and past their refresh window. Headcount stands at 9,000 (PitchBook, June 9, 2026). The September to October window is the scheduled refresh. Until then, the old numbers carry their dates.

Growth is accelerating at \$7 billion scale

Annualized revenue run-rate (\$B, bars) and YoY growth (%), line)



Sources: Company disclosures • Geography: US • As of June 16, 2026

Annualized revenue run-rate (bars) and year-over-year growth (line), company disclosures September 2025 to June 2026. No new print since June 16.

Pricing the quality: both marks stay on the cohort floor

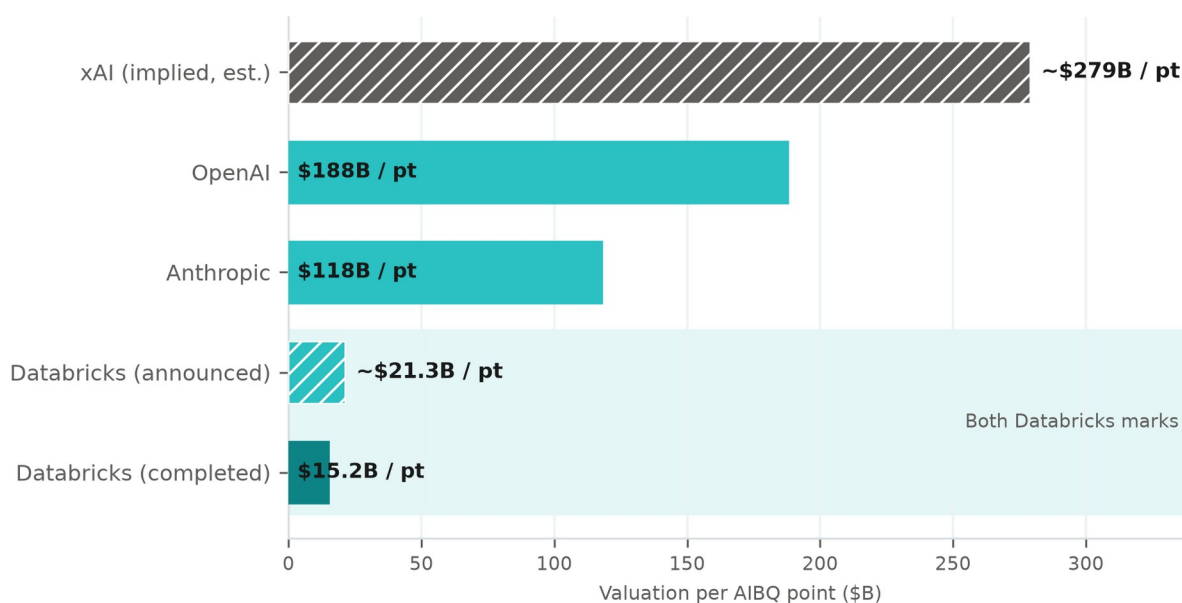
The bid re-prices the same June print. At \$134 billion the multiple is 19.4x run-rate; at \$188 billion it is 27.2x (derived). Growth adjustment keeps both defensible. At 27.2x against 80% growth, each point of growth costs 0.34x. The closest listed comparable trades at 15.3x its guided 31% forward growth, or 0.49x per point (comparable company 8-K, May 27, 2026; derived). The buyer at the higher private price still pays less per unit of growth than the public market pays for the slower asset.

The quality math holds too. The completed mark prices business quality at \$15.2 billion per point on the desk's framework. The announced bid prices it near \$21.3 billion (est.). The nearest peer pays about \$118 billion per point, the top of the cohort near \$188 billion, and the listed parent's implied AI segment about \$279 billion (est., derived). At either mark, Databricks is the cohort floor by more than 5x.

Two dates decide the next quarter. First, the close: the company says later this summer, and we assess completion by October 31 as very likely (80-95%). Confidence: moderate; the size and terms are press-sourced and the company has not disclosed them. Second, the print: September to October, testing the run-rate against \$6.9 billion, the margin against 70%, and the February metrics against fresh ones. The kill criterion is written. A gross-margin print below 70% by the October disclosure forces a quality re-score, round or no round. The registry stays quiet; no S-1 was on file at the last check (SEC EDGAR, July 10, 2026).

The buyer pays the least per unit of quality, at either mark

Valuation per AIBQ point (\$B)



Sources: PitchBook, company disclosures, PitchBook analysis • Geography: US • As of August 10, 2026

Valuation per AIBQ point, August 10, 2026. Databricks shown at completed and announced marks; xAI implied inside its listed parent (est.); SSI excluded (pre-revenue).

Estimative language

Forward-looking judgments in this note use the desk lexicon below. Numbers in parentheses give the assessed probability range. Confidence is stated separately and describes the evidence base, not the event. 'Possible' is never modified; one odds-bearing word per sentence.

Probability bands

Term	Range
Almost no chance / remote	1-5%
Very unlikely / highly improbable	5-20%
Unlikely / improbable	20-45%
Roughly even chance	45-55%
Likely / probable	55-80%
Very likely / highly probable	80-95%
Almost certain / nearly certain	95-99%

Desk adoption of the ICD 203 estimative standard; judgments are logged with dates and resolution criteria for calibration.

References

1. Databricks signs term sheet at \$188B, Coatue lead (Reuters syndication), July 17, 2026.
<https://www.dealstreetasia.com/stories/coatue-led-funding-round-to-value-databricks-at-188b-489409/>

- 2.** Databricks hits \$188B valuation (TechCrunch), July 17, 2026.
<https://techcrunch.com/2026/07/17/databricks-hits-188b-valuation-extending-its-run-as-ais-favorite-second-act/>
- 3.** Coatue-led \$3B investment at \$188B (WSJ, via Reuters/CNA), July 16-17, 2026.
<https://www.channelnewsasia.com/business/databricks-valued-188-billion-after-coatue-led-investment-wsj-reports-6259931>
- 4.** PitchBook News: Databricks' 40% valuation bump looks 'almost quaint' next to Anthropic, July 17, 2026. <https://my.pitchbook.com/news-center/pb208542455521588824>
- 5.** PitchBook company profile 59199-40 (last updated August 10, 2026) and financing note, August 7, 2026. <https://my.pitchbook.com/profile/59199-40/company/profile>
- 6.** Databricks company announcement: Series L final close and operating metrics, February 9, 2026.
- 7.** Databricks Data + AI Summit analyst-session disclosures (\$6.9B run-rate, +80% YoY, 74% gross margin), June 16, 2026.
- 8.** SEC EDGAR submissions API, CIK 0001587468 (no registration statement on file), verified July 10, 2026. <https://data.sec.gov/submissions/CIK0001587468.json>